Chapter Name - Money And Banking

MONEY

→ Barter System

It refers to direct exchange of goods and services for goods and services.
This type of economy is called 'Barter economy' or 'C-C economy' (C stands for commodity)

Limitations of Barter System

(1) Lack of double coincidence of wants

(2) Lack of store of value

(3) Lack of unit of Account

(4) Lack of Divisibility

(5) Lack of Standard of deferred Payments

(6) Lack of Transfer of value

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Money

Money may be defined as anything which is generally accepted as 'medium of exchange' and 'unit of Account'.

Functions of Money

(1) Primary Functions

a- Medium of exchange

b- Money as 'measure of value'

OR

Money as 'unit of Account'

(2) Secondary Functions

a- Standard of deferred payments

b- Store of value

c- Transfer of value

Explain functions of Money

(I) **Medium of Exchange** :-

Money, as a medium of exchange, means that it can be used to make payments for all transactions of goods and services.

(II) **Measure of Value**
OR
Money as a unit of Account :-

Money as a measure of value means that money works as a common denomination, in which values of all goods and services are expressed.

(III) **Money as a Store of value** :-

Money as a store of value means that money can be used to transfer purchasing power from present to future. Since it is most liquid asset and it can be easily converted in other things.

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(IV) Money as the Standard of deffered payments:-

Money makes deferred exchange easy and simple. These payments which are to be paid in some future date like. payment of loans, installments etc. Money facilitates these borrowings and lendings.

(V) Money as Transfer of Value:-

Money makes transfer of value of goods and services very simple as it can be transferred easily from one place to a large distanced place.

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Types of Money

① Fiat Money

A fiat money is a type of currency that is declared legal tender by a government but has no intrinsic or fixed value and is not backed by any tangible asset, such as gold or silver.

② Legal Tender Money

Money which can be legally used to make payments of debts or other obligations is termed as legal tender money.

③ Fiduciary Money

Payment on the basis of trust not on the basis of any order of the government is known as fiduciary money.
example - cheque, banknotes and drafts.

④ High Powered Money (H)

High powered money is money produced by the RBI and the government. It consists of two things :-
(i) Currency held by the public
(ii) Cash reserves with the bank.

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Money Supply

- Money supply may be defined as the total stock of money held with public at a particular point of time in an economy.

It is measured as $M_1 = CC + DD + OD$

Components of Money Supply

1. Currency in circulation with public (CC)
2. Demand deposits with commercial Banks (DD)
3. Other deposits with Reserve Bank of India (OD)

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Chapter Name

BANKING

→ Commercial Banks

It refers to the financial Institution which accepts deposits from public and provide loan to public. They also create money and provide cheque facility.

→ Central Bank

The Central Bank is the apex monetary institution which controls the entire money and banking system of the country.

Functions of Central Bank

1. Currency Authority OR Bank of issue
2. Banker's Bank and Supervisor
3. Government's Banker, agent & advisor
4. Lender of last Resorts
5. Custodian of foreign exchange reserves and nation's gold
6. Controller of credit & money supply
7. Clearing House function.

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Explain functions of Central Bank

(I) Issue of Currency :-

OR

"Currency Authority"

OR

"Bank of issue"

The central Bank has a legal right to issue currency notes (except one-rupee notes and coins issued by finance ministry). The central bank issues that value of currency which is equal to its reserve of gold and foreign securities in India.

(II) Banker's Bank and Supervisor :-

The one of the main duty of a central bank is to regulate and supervise the proper functioning of commercial Bank's. The central Bank acts as both.

(i) Bank of commercial banks as it accepts the CRR and other deposits of banks provide loans to the commercial banks.

(ii) Supervisor of the commercial banks as it guides the commercial bank and aware them about the future threats.

III Government's bank, agent and advisor :-

(i) The central Bank acts as a banker to the government because it accepts the deposits of the government and provides loan to the government. The main duty of the central bank is to conduct the banking accounts of the government departments.

(ii) The central Bank acts as an agent of the government as it provides various agency services to the like central bank manages the public debts and makes payments on the behalf of the government.

(iii) The central Bank acts as an advisor to the government as it gives timely advice to the government regarding the state of the economy and the state of markets

(IV) Lender of Last Resort :-

(i) As the lender of last resort, the central bank gives loans to the commercial banks in times of liquidity crisis.

(ii) When commercial banks do not get loan facilities from any other sources, they approach to Central Bank as a last resort. The central bank advances loan to such banks against approved securities. Thus, the central bank acts as a 'lender of the last Resort'.

V Custodian of Nation's Gold and Foreign exchange Reserves :-

The foreign currency's reserve and Gold of a country are kept in the custody of its central Bank. All the foreign currency received by the citizen of a country has to be deposited with the central bank and if he wants to make payments in foreign currency, he has to apply to the central bank.

VI Controller of Money Supply
OR
Controller of Credit

The central Bank has the power to control the credit creation by a commercial bank as it decides the CRR and it controls the money supply with the help of change in CRR, SLR, Bank rate and other instruments of the money supply. The main objective of the money supply is to bring price stability in an economy.

VII Clearing House Function

Credit Control Instruments of RBI

Quantitative methods

1. Repo Rate
2. Bank Rate
3. Reverse Repo rate
4. Open market operations
5. Legal Reserve requirements

Qualitative methods

1. Margin requirement
2. Moral suasion
3. Selective Credit Controls.

Defines :-

A. Cash Reserve Ratio (CRR)

Cash Reserve Ratio (CRR) refers to that part of the total deposit of commercial banks which they have to keep with central bank of the country.

B. Statutory Liquidity ratio (SLR)

Refers to that part of the total deposits of the commercial banks which they have to keep with themselves in the form of liquid assets.

C. Legal Reserve Ratio (LRR)

Legal Reserve ratio refers to the total reserves of the commercial banks. It is the sum of CRR and SLR

D. Bank Rate

Bank rate refers to the rate at which the central Bank provides long term loans to the commercial banks.

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E. Repo Rate

Repo rate refers to the rate at which central bank provides short-term loans to the commercial banks.

F. Reverse Repo Rate

Reverse Repo Rate refer to the interest rate given by central bank to the commercial banks on their deposits made with the central bank.

OR

Reverse repo rate is the rate at which central bank accept the deposits of commercial banks.

G. Margin Requirement

It refers to the difference between the value of mortgage kept by banks and amount of loan given by bank.

H. Demand deposits

Those deposits which are payable on demand are called demand deposit.

Open Market Operations

The open market operation refers to sale and purchase of government securities in open market to commercial banks and general public by the central bank of a country. It is done to influence money supply.

When there is deflation in economy

When there is deflation in an economy then, central bank buys the government securities from commercial bank and general public. It will increase the cash with commercial bank and general public. Hence, money supply increases.

When there is Inflation in economy

In the situation of Inflation the central bank sells the government securities and absorbs the cash from the economy. It reduces the money supply.

CREDIT CREATION

Using numerical example

- The credit creation is understood as the creation of more than one deposit from a single or initial deposit.

The process of credit creation by commercial bank can be explained with the help of

(i) Amount of initial deposits,

(ii) Legal Reserve Ratio (LRR) where LRR is that minimum part of total deposits of commercial bank which they are legally required to kept as a cash i.e LRR = CRR + SLR.

This can be explained with the help of an imaginary example let, we suppose the LRR 20% and initial deposits ₹ 1000, then following table explains the credit creation:-

Deposits (in ₹)	Loans (in ₹)	LRR (in ₹)
1000	800	200
800	640	160
640	512	128
.	.	.
.	.	.
.	.	.
5,000	4,000	1,000

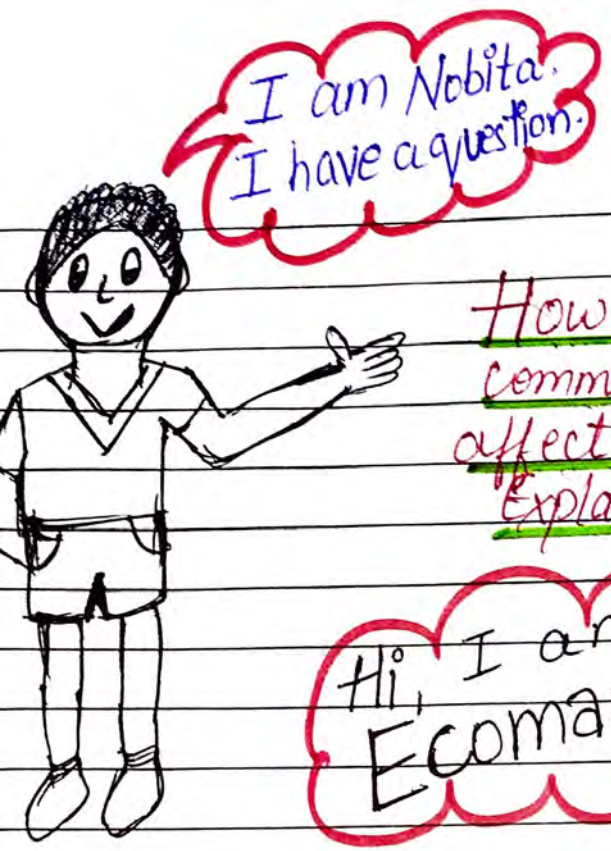
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Suppose, a new deposit of ₹ 1,000 is made in banks. Then the banks will provide loans by deducting ₹ 200 as LRR i.e loans of ₹ 800. Now, it is believed that the borrower will spend the entire amount of loans and the receiver of this amount from borrower will deposit the entire amount into banks. It means banks will get another deposit of ₹ 640. These deposits are increasing at a decreasing rate and hence at a point of time they will become virtually zero. The sum total of all deposits will ultimately become ₹ 5,000 i.e five times of initial deposits.

This amount of total deposits can be measured with the help of money multiplies:

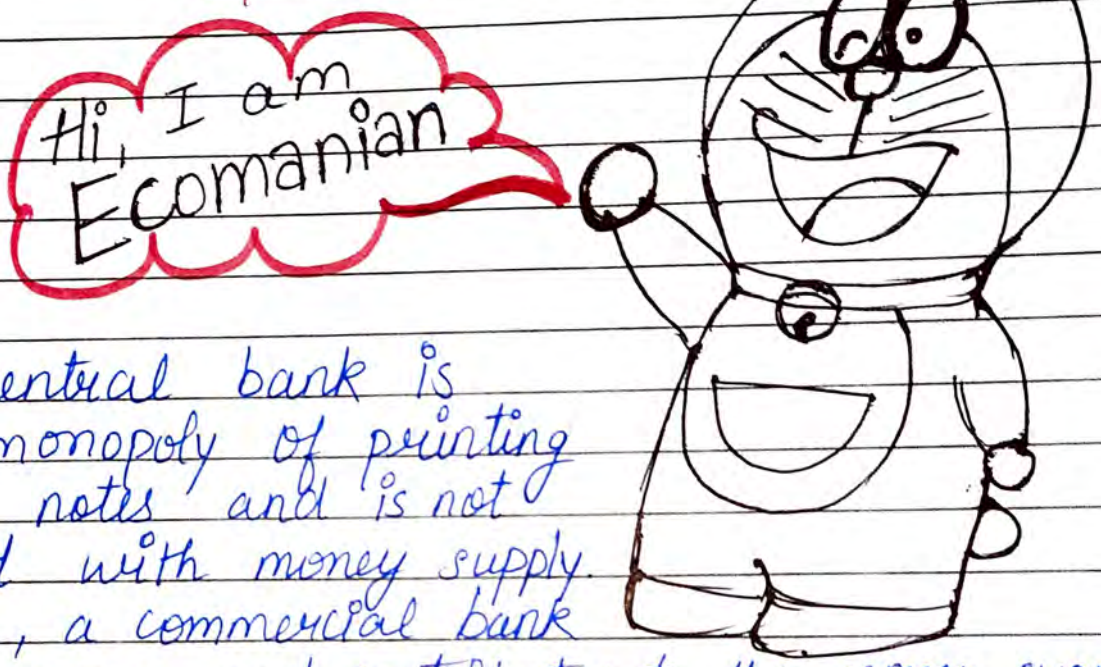
Total deposit creation = $\frac{1}{LRR} \times$ initial deposits

$= \frac{1}{0.2} \times 1000 = ₹5000$



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How is money creation by commercial banks likely to affect the National Income? Explain.



Since, central bank is having monopoly of printing currency notes and is not associated with money supply. However, a commercial bank creates money and contributes to the money supply through credit creation. A commercial bank creates credit in the sense that it gives more loans than the cash deposit received from depositors.

Money creation by central Bank affects the national by increasing the aggregate demand. This money creation by commercial banks results in increase in availability of money with investors or people (producers as well as household consumers). Producers invest this credit money in production while household consumers demand more goods and services. In this way AD increases and thereby national income also increases.

Distinguish between Commercial Bank and Central Bank

	Basis	Commercial Bank	Central Bank
1	Objective	Its objective is to earn profit	Its objective is to bring economic stability in the country.
2	Status	It is just an unit of banking system.	It is the apex body and controls entire banking system.
3	Number	Commercial banks may be many in numbers.	A central bank is one in number.
4	Relations with people	A commercial bank maintains direct relation with public	It has no direct relations with public.
5	Relations with government	A commercial bank may be in private sector or in public sector	It is a government Agency.

Monetary Policy

This monetary policy refers to the policy made by the central Bank related to change in money supply.

Instruments of monetary policy

Quantitative

1. Repo Rate
2. Bank Rate
3. Reverse Repo Rate
4. Legal Reserve Ratio
5. Open Market Operations
6. SLR , CRR

Qualitative

1. Margin Requirement
2. Moral Suasion

Moral Suasion

It refers to the forceful appeal of the central bank to the commercial banks related to the change in money supply.